

INTERNAL AUDIT REPORT

Vendor Risk Audit | Report No. AR-02301

Report ID:	AR-02301
Audit Type:	Vendor Risk Audit
Report Date:	July 04, 2024
Audit Period:	2023-12-28 to 2024-07-01
Lead Auditor:	Megan Strickland (EMP-59544)
Reviewed By:	Stephen Goodwin (EMP-26652)
Primary Vendor Reference:	ClearPath Logistics Inc (VND-01640)
Subject Employee Reference:	Matthew Stevenson (EMP-46132)
Primary Transaction Reference:	TXN-C1011463560
Overall Risk Rating:	CRITICAL

1. EXECUTIVE SUMMARY

This vendor risk audit covered the period 2023-12-28 to 2024-07-01 and examined transactions, approvals, and compliance records associated with vendor ClearPath Logistics Inc (VND-01640) and employee Matthew Stevenson (EMP-46132). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **CRITICAL**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1011463560 (amount 180,847.55 EUR) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-004917	HIGH	VENDOR RISK	Vendor NexPoint Analytics Holdings holds CRITICAL risk rating. 4 payments totalling \$5,518 processed in the audit period.
FND-001126	LOW	APPROVAL LIMIT	Escalation protocol was bypassed. Transaction valued at \$473,386 was approved at L3 without L5 countersignature.

Finding ID	Severity	Category	Description
FND-003646	CRITICAL	VENDOR RISK	BLACKLISTED vendor VND-VND-04863 received payment of \$394,744 via contract CON-102924 that was not updated following blacklisting.
FND-004281	MEDIUM	POLICY BREACH	Entertainment expense of \$304,155 submitted by EMP-15662 exceeds monthly policy allowance of \$5,000.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000267	EXPENSE CLAIM	EVD-CRY-6182	0.77
EVI-000582	DNS LOG	EVD-YSU-0098	0.99
EVI-001280	EXPENSE CLAIM	EVD-OEX-6641	0.51
EVI-001851	POLICY DOCUMENT	EVD-QBZ-3296	0.92
EVI-001868	AUDIT REPORT	EVD-FYV-8056	0.67
EVI-002696	TRANSACTION RECORD	EVD-HXG-5630	0.69

5. RECOMMENDATIONS

- Review and update vendor risk ratings following adverse compliance findings.
- Escalate repeat policy violations to the Risk Committee for disciplinary review.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Megan Strickland	EMP-59544	2024-07-04
Reviewing Officer	Stephen Goodwin	EMP-26652	2024-07-06